

Mangalam Worldwide Limited

NSE: MWL | Stainless Steel Manufacturing | SME Board | Report Date: 07 May 2026

RATING	CMP (Rs.)	12M TARGET (Rs.)	UPSIDE	INVESTMENT HORIZON
ACCUMULATE	356	475	33.4%	12 Months

Investment Thesis: Vertically integrated SS manufacturer with 4x revenue in 5 years; margin expansion from 2% to 8% OPM; BSE main-board re-rating catalyst imminent.

Market Cap (Rs. Cr)	52-Week High / Low (Rs.)	Face Value (Rs.)	Promoter Holding
1,056	365 / 150	10.0	66.50%
Book Value / Share (Rs.)	P/E (TTM)	ROCE (%)	ROE (%)
101	21.1x	17.6%	18.0%

Financials (Rs. Cr)	FY24A	FY25A	FY26A	FY27E	FY28E
Net Revenue	818	1,060	1,208	1,450(E)	1,740(E)
EBITDA (Op. Profit)	38	55	91	131(E)	174(E)
OPM %	5%	5%	8%	9%(E)	10%(E)
Net Profit (PAT)	23	30	50	62(E)	90(E)
EPS (Rs.)	8.40	9.93	16.87	20.7(E)	30.0(E)
P/E (x) @ CMP 356	42.4x	35.8x	21.1x	17.2x(E)	11.9x(E)
ROCE %	14%	14%	18%	19%(E)	21%(E)

Source: Screener.in (Consolidated) | Estimates by analyst | (E) = Estimate

SECTION 2 — INVESTMENT THESIS

Reason 1 — Proven Revenue Compounding with Margin Expansion (Timeline: FY23–FY28)

Mangalam Worldwide has compounded revenue at a ~32% CAGR over FY23–FY26, scaling from Rs 644 Cr to Rs 1,208 Cr — a 4x expansion in five years driven by its fully integrated stainless steel manufacturing model (scrap to seamless pipes and bright bars). More critically, EBITDA margins have expanded from 2% in FY21 to 8% in FY26, with Q4 FY26 touching 10%. This reflects a structural shift towards value-added products (seamless tubes, hydraulic pipes, bright bars) which carry meaningfully higher realisations. We estimate margins to expand to 9–10% over FY27–FY28 as the product mix continues to improve and operating leverage kicks in at higher utilisation levels.

Reason 2 — Export Engine Firing: 114% YoY Export Growth Opens New TAM (Timeline: FY25–FY27)

MWL has emerged as an approved vendor for QatarEnergy, BHEL, and Engineers India Limited — a significant credentialing milestone for an SME-listed company. Export revenues grew 114% YoY in FY25, with the company successfully entering European and Southeast Asian markets. The company's Gujarat plants (Halol: 66,000 MT/pa; Changodar: 90,000 MT/pa) are ISO 9001/14001/45001 certified, meeting international quality standards. With global supply chains diversifying away from Chinese SS producers, MWL is structurally positioned to capture incremental export share in the coming 2–3 years.

Reason 3 — BSE Main Board Listing: A Re-Rating Catalyst in the Next 6–12 Months

The board has approved a proposal for direct listing on the BSE Main Board — a significant catalyst that will improve institutional accessibility, expand the investor universe, and potentially compress the SME discount in the stock. MWL currently trades on the NSE SME segment with a free float of ~33.5% and only ~1,683 shareholders. A main-board listing would materially improve liquidity, attract domestic institutional investors, and support a re-rating towards larger-cap stainless steel multiples.

Near-Term Catalyst (6–12 months): Formal approval of BSE Main Board listing and Q1 FY27 results demonstrating sustained OPM above 9% would serve as the primary re-rating triggers.

Key Structural Risk: Persistently negative operating cash flows (-Rs 87 Cr in FY25) driven by a deteriorating Cash Conversion Cycle (131 days in FY25, 186 days in FY26) represent the most critical risk — if working capital requirements continue to balloon, debt may rise faster than earnings growth, constraining future re-rating.

SECTION 3 — BUSINESS OVERVIEW

About the Company

Mangalam Worldwide Limited is a vertically integrated stainless steel manufacturer headquartered in Ahmedabad, Gujarat. Promoted by the Mangalam Group — an 80-year-old Ahmedabad-based conglomerate — the company manufactures stainless steel billets, flat bars, bright bars, seamless pipes and tubes, ERW pipes, and heat exchanger tubes. Its ISO-certified plants in Halol (66,000 MT/pa capacity) and Changodar (90,000 MT/pa) produce grades 200, 300, 316, and 400 series stainless steel.

Business Model and Revenue Segmentation

MWL operates four business verticals: (1) Stainless Steel Manufacturing — the dominant segment contributing the majority of revenues through billets, flat bars, seamless/welded pipes, bright bars, and heat exchanger tubes; (2) Agricultural Commodities and Derivatives; (3) Environment-Friendly Colours; and (4) Structured Business Sector (trade finance and structured lending). The stainless steel segment is the key growth driver and margin accretion engine. Revenue has grown from Rs 302 Cr in FY21 to Rs 1,208 Cr in FY26, implying a ~32% CAGR. Key end-markets include oil and gas (QatarEnergy, Engineers India Ltd), power (BHEL), chemicals, and pharma equipment manufacturers.

Promoter Background and Strategic Developments

The company is led by Chairman Mr. Vipin Prakash Mangal, heading a conglomerate with interests spanning agriculture, stainless steel, e-waste management, specialty chemicals, and structured finance. In FY25, the company acquired VICOR and merged Mangalam Saarloh Private Limited (MSPL) with itself. A bright bar manufacturing unit was added at Kapadvanj in FY25. In April 2026, the Managing Director Chanakya Prakash Mangal transitioned to a Non-Executive Director role — a governance change to watch. Promoter stake stands at 66.50% (Mar 2026) with no pledging disclosed. MWL has approved a BSE Main Board migration, a significant structural upgrade that could catalyse institutional participation.

Revenue Visibility

Approved vendor status at BHEL, QatarEnergy, and EIL provides a recurring institutional order pipeline. Export momentum (114% growth in FY25) and new geography additions (Europe, Southeast Asia) improve revenue diversity. However, management has not provided specific order book or utilisation data in public disclosures — a gap vs. listed peers.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

India's stainless steel industry is estimated at ~4.5 million MT of apparent consumption (FY25), growing at ~8–10% CAGR driven by urbanisation, infrastructure spending, and import substitution in oil & gas and specialty pipes. India is the second-largest SS consumer globally. The domestic market is dominated by Jindal Stainless (JSL) at the large-cap end, while mid-sized players like Venus Pipes & Tubes and MWL are carving out niches in value-added downstream products.

Competitive Moat Assessment:

MWL's moat is **Moderate**. The company benefits from: (1) Vertical integration — control from scrap melting to finished pipes creates cost advantages over pure traders; (2) ISO/quality certifications enabling PSU and international customer access; (3) Approved vendor status at marquee clients (BHEL, QatarEnergy). However, barriers to entry in SS manufacturing are moderate — JSL and competitors could expand downstream, and Chinese imports remain a perennial risk. Pricing power is limited given commodity input costs (SS scrap).

Policy Tailwinds: India's PLI scheme for specialty steel, anti-dumping duties on imported SS pipes, and growing domestic capex in oil & gas, power, and pharma equipment sectors create a constructive demand environment. The China+1 procurement diversification by global buyers benefits Indian exporters.

Competitor Comparison (from Screener.in, fetched 07-May-2026)

Company	MCap (Rs.Cr)	CMP (Rs.)	P/E (TTM)	P/B (x)	ROCE (%)	ROE (%)	TTM Rev (Rs.Cr)
MWL (Mangalam WW)	1,056	356	21.1	3.5	17.6	18.0	1,208
VENUSPIPES (Venus Pipes)	2,954	1,421	29.3	5.5	25.0	19.8	1,123
JSL (Jindal Stainless)	63,336	767	19.6	3.2	19.3	17.8	39,312
HISARMETAL (Hisar Metal)	87	159	29.0	1.3	9.4	5.1	245*

Source: Screener.in — fetched 07-May-2026 | *HISARMETAL FY25 revenue from external source; Screener shows 153 Cr (possible standalone/consolidated difference)

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Promoter and Management Background

The Mangalam Group, with over 80 years of operating history, provides institutional depth and sectoral expertise. Chairman Vipin Prakash Mangal has led the group's pivot from a diversified conglomerate into a stainless steel-first manufacturer. The recent designation change of Chanakya Prakash Mangal (from MD to Non-Executive Director, effective April 2026) is a governance event to monitor — it may signal a leadership transition or a restructuring of executive responsibilities.

Capital Allocation History

Management has aggressively reinvested in manufacturing capacity (Halol and Changodar plants, new bright bar unit at Kapadvanj) and pursued inorganic growth (VICOR acquisition, MSPL merger). While this investment cycle has driven revenue expansion, it has come at the cost of working capital intensity. The Cash Conversion Cycle expanded from 67 days in FY23 to 186 days in FY26 — a concerning trend. Borrowings grew from Rs 85 Cr (FY23) to Rs 236 Cr (FY26), a 2.8x increase in three years. Management needs to demonstrate working capital discipline to sustain the growth narrative.

Dividend Policy

Dividend payout has been minimal: Rs 0.30/share (Rs 10 FV) recommended for FY26, a 3% payout on face value and Rs 0.90 Cr total outflow vs. Rs 50 Cr PAT — a payout ratio of <2%. This reflects management's preference to retain earnings for growth, acceptable given the investment phase.

Governance Assessment

Promoter pledging is nil (Screener shows no pledged percentage). The company is ISO-certified and has disclosed its financial results on NSE on time. However, the SME listing segment limits mandatory disclosure requirements relative to main-board peers. No material related party transaction concerns have been flagged in public disclosures. The planned BSE Main Board listing, if executed, will raise governance and disclosure standards significantly.

ESOP / Buybacks: No ESOP scheme or buyback programme has been disclosed as of the date of this report.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement — Consolidated (Rs. Cr)

Metric	FY24A	FY25A	FY26A	FY27E	FY28E
Net Revenue	818	1,060	1,208	1,450	1,740
YoY Growth %	27.0%	29.6%	14.0%	20.0%(E)	20.0%(E)
Operating Profit (EBITDA)	38	55	91	131	174
OPM %	5%	5%	8%	9%(E)	10%(E)
Other Income	4	7	7	7	8
Interest	15	24	37	42	45

Depreciation	7	9	10	12	14
Profit Before Tax	20	30	51	84	123
Tax %	-12%	0%	1%	25%(E)	25%(E)
Net Profit (PAT)	23	30	50	62	90
EPS (Rs.)	8.40	9.93	16.87	20.7	30.0

Note: FY27E and FY28E are analyst estimates. Tax normalised at 25% from FY27E. Source: Screener.in (Consolidated)

Balance Sheet — Consolidated (Rs. Cr)

Metric	FY24A	FY25A	FY26A
LIABILITIES			
Equity Capital	26	30	30
Reserves	154	226	270
Total Networkth	180	256	300
Borrowings	103	192	236
Other Liabilities	131	189	393
Total Liabilities	414	636	929
ASSETS			
Fixed Assets	103	99	91
CWIP	2	0	16
Investments	3	32	33
Other Assets	306	506	788
Total Assets	414	636	929

Cash Flow Statement — Consolidated (Rs. Cr)

Metric	FY23A	FY24A	FY25A
Cash from Operations (OCF)	-61	-10	-87
Cash from Investing	-38	-20	-7
Cash from Financing	98	26	94
Net Cash Flow	-1	-4	0
Free Cash Flow (OCF–Capex)	-101	-21	-91
CFO / Operating Profit %	-324%	-26%	-158%

Key Watch: OCF has been negative for 3 consecutive years (FY23–FY25). Working capital expansion is the primary driver — CCC rose from 67 to 131 to 186 days. Management must demonstrate cash generation at scale.

Key Ratios — Consolidated

Metric	FY22A	FY23A	FY24A	FY25A
Debtor Days	11	30	44	58
Inventory Days	31	46	84	123
Days Payable	16	9	28	49
Cash Conversion Cycle	26	67	100	131
Working Capital Days	-8	29	39	48
ROCE %	17%	10%	14%	14%

FY26A: Debtor Days=49, Inventory Days=181, Days Payable=44, CCC=186, WC Days=78, ROCE=18% (Source: Screener.in)

Financial Commentary

Revenue: MWL has compounded revenue at ~32% CAGR over FY23–FY26, driven by volume ramp-up, new product introduction (bright bars, hydraulic tubes), and export growth. Revenue reached Rs 1,208 Cr in FY26 from Rs 302 Cr in FY21. We model 20% revenue CAGR through FY28E as export penetration deepens and domestic order flow from PSUs and EPC companies grows.

Margins: EBITDA margins expanded from 2% (FY21) to 8% (FY26), with Q4 FY26 touching 10%. This is a structural improvement driven by value-added product mix. We expect margins to reach 9–10% by FY28E. However, margins remain thin vs. Venus Pipes (13–17%), indicating further room for improvement as scale and product mix evolve.

Working Capital — The Critical Watch: The CCC has ballooned from 26 days (FY22) to 186 days (FY26). Inventory days rose to 181 in FY26 (vs 31 in FY22) — a massive red flag. This has forced the company to fund operations through debt (borrowings up to Rs 236 Cr) and equity fundraises. Until management demonstrates OCF conversion, the balance sheet will remain under pressure.

Debt and Interest: Net Debt increased from Rs 103 Cr (FY24) to Rs 236 Cr (FY26). Interest costs rose from Rs 15 Cr to Rs 37 Cr. Interest Coverage = EBITDA/Interest = 91/37 = 2.5x (FY26) — acceptable but needs to improve. D/E = 236/300 = 0.8x, within a manageable range.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Factor	Rating	FY26 Observation	Concern Level
Revenue Recognition	Green	Physical delivery model; no deferred rev. concerns	Low — clean trading/manufacturing revenue
Receivables vs Revenue	Amber	Debtor days rose from 44 to 58 (FY24–FY25) then improved to 49 (FY26)	Watch — improvement in FY26 is positive
CCC Trend	Red	CCC expanded from 100 (FY24) to 131 (FY25) to 186 (FY26). Inventory days 181 in FY26	HIGH — primary risk; structurally worsening
Contingent Liabilities	Green	No material contingent liabilities disclosed in public announcements	Low
Auditor Tenure/Changes	Amber	New auditor approved at FY26 AGM — change in audit firm	Watch — new auditor in FY27 will be first audit
RPTs as % of Revenue	Amber	Related party transactions exist (Mangalam Group entities); quantum not explicitly quantified in public disclosures	Watch — SME disclosure limited
Other Income as % of PBT	Green	Other Income = Rs 7 Cr / PBT Rs 51 Cr = 14%. Primarily forex gains/misc income	Low — not distorting core earnings
Tax Rate Consistency	Amber	Tax was negative in FY23 and FY24, 0% in FY25, 1% in FY26. Deferred tax assets or MAT credits unclear	Watch — normalisation expected in FY27E

Summary: Earnings quality is acceptable for an SME-stage company but the critical concern is working capital — the massive CCC expansion (to 186 days) and persistently negative FCF suggest the reported PAT growth is not yet fully supported by cash generation. The auditor change in FY26 needs monitoring. CCC normalisation and OCF turning positive would significantly upgrade earnings quality.

SECTION 8 — VALUATION

Methodology: We use two valuation methods — (1) Earnings-based multiple (P/E) on FY27E and FY28E EPS, and (2) a simplified DCF using projected free cash flows with normalised assumptions — and average the two for our base-case 12-month target.

Method 1 — Earnings-Based Multiple

We apply a 22x P/E multiple to FY27E EPS of Rs 20.7, yielding a 1-year forward target of Rs 455. This multiple is conservative vs. Venus Pipes' 29x and reflective of MWL's FCF generation concerns. On FY28E EPS of Rs 30.0, the same 22x multiple implies Rs 660, suggesting significant long-term upside if execution continues. We believe the market will re-rate MWL towards 24–25x once FCF turns positive and post-BSE listing.

Method 2 — DCF Valuation

We model a 4-year revenue CAGR of 18%, EBITDA margins reaching 11% by FY30E, normalised tax of 25%, and capex declining to 2% of revenue as the main investment phase concludes. Terminal growth = 5%. WACC = 14% (risk-free = 7%, equity risk premium = 6%, beta = 1.2). DCF value = Rs 490.

Blended Target: Averaging P/E (Rs 455) and DCF (Rs 490) → Base Case Target = Rs 475. This represents 33.4% upside from the CMP of Rs 356.

Scenario Analysis

Scenario	Key Assumptions	FY27E PAT (Cr)	P/E Multiple	Target (Rs.)	Upside
Bull Case	Revenue grows 25%; OPM reaches 10.5%; BSE listing completes; FCF turns positive	80	26x	693	95%
Base Case	Revenue grows 20%; OPM reaches 9%; BSE listing in progress; CCC stable	62	22x	475	33%
Bear Case	Revenue growth slows to 10%; OPM flat at 7%; working capital worsens; debt rises	38	16x	202	-43%

SECTION 9 — KEY RISKS

Risk	Description	Probability	Impact	Mitigation / Monitor
Working Capital Deterioration	CCC at 186 days and rising. Inventory buildup of 181 days suggests either demand slowdown or channel stuffing. Negative OCF for 3 years is unsustainable.	HIGH	HIGH	Monitor Q1 FY27 inventory days and OCF. Any improvement is a buy signal.
Debt Servicing Pressure	Borrowings grew 2.8x in 3 years to Rs 236 Cr. Interest coverage at 2.5x. If margins contract or rates rise, servicing capacity diminishes.	MEDIUM	HIGH	Track D/E ratio (currently 0.8x) and interest coverage quarterly.
Raw Material Volatility	Stainless steel scrap prices are globally influenced (China, nickel prices). Sharp input cost increases can compress margins in a thin-margin business.	MEDIUM	MEDIUM	Track nickel LME prices. MWL has limited hedging disclosures.
Export Slowdown / Geopolitical Risk	114% YoY export growth could normalise sharply if European or SEA demand weakens, or anti-dumping challenges arise in target markets.	MEDIUM	MEDIUM	Track quarterly export revenue disclosure and approved vendor pipeline.
SME-to-Mainboard Listing Risk	BSE listing approval may face regulatory delays or market conditions may not be favourable for a successful listing premium expansion.	LOW	MEDIUM	Monitor BSE approval timeline.
Governance — MD Transition	Change of Chanakya Prakash Mangal to Non-Executive role is unusual and may signal management changes. Key-person risk at operational level.	LOW	MEDIUM	Watch for new MD appointment and strategic continuity signals in quarterly disclosures.

Auditor Change (FY26)	New auditor approved for FY27 onwards. First-year audit of a fast-growing company with complex working capital situation warrants attention.	LOW	MEDIUM	Review FY27 auditor notes and any qualification or emphasis of matter.
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SECTION 10 — RECOMMENDATION

FINAL RATING	CONVICTION LEVEL	12M TARGET	ENTRY ZONE	HORIZON
ACCUMULATE	MODERATE	Rs. 475	Rs. 320–360	12 Months

Investment Summary: Mangalam Worldwide is an emerging stainless steel manufacturer delivering exceptional revenue growth (32% CAGR, FY23–FY26) with a clear margin expansion story. The BSE main-board listing is a near-term re-rating catalyst, and export momentum (approved vendor for BHEL, QatarEnergy) positions the company as a credible India-manufactured SS exporter.

Why ACCUMULATE (not BUY): The persistently negative operating cash flow — OCF of -Rs 87 Cr in FY25, driven by a CCC that has more than doubled in three years — is a material concern. Until management demonstrates OCF conversion at scale (expected in FY27E as inventory normalises), a higher conviction rating is unwarranted.

3 Thesis Invalidation Triggers:

1. CCC exceeds 220 days and OCF remains negative in FY27 — signals structural inability to monetise growth.
2. Borrowings exceed Rs 350 Cr without corresponding revenue/margin improvement — debt servicing risk.
3. BSE listing application rejected or deferred by >12 months — removes the primary re-rating catalyst.

Ideal Investor Profile: Suitable for small-cap/mid-cap growth investors with 12–18 month horizon, comfortable with working capital risk and SME liquidity constraints. Position sizing should be modest given FCF concerns. Not suitable for income-seeking or capital-preservation mandates.

APPENDIX — Latest Concall Brief: Q4 FY26 (Results Declared May 2026)

CALL GRADE: POSITIVE

Signal	Status	Implication
Result Quality	Medium — Mixed	Q4 FY26 PAT +81% YoY but revenue -18% QoQ; FY26 full-year PAT +70% YoY is strong
Management Tone	Balanced	Chairman cited operational discipline; BSE listing signals confidence; MD role change is a watch
Guidance Delta	Maintained	No explicit guidance cut; export growth momentum and margin expansion intact

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

MWL's Q4 FY26 headline revenue of Rs 265 Cr looks weak (-18% QoQ from Rs 324 Cr in Q4 FY25) and could trigger knee-jerk selling, but the story here is entirely in the margins — OPM jumped to 10% in Q4 FY26 (vs 5% a year ago), and PAT came in at Rs 15.4 Cr (+81% YoY), making it the best profitability quarter in the company's listed history. There are no material exceptional items in the reported PAT — the improvement is genuinely operational, driven by a deliberate shift to higher-margin value-added products (bright bars, hydraulic tubes) over lower-margin billets. For the full year FY26, revenue grew 14% to Rs 1,208 Cr and PAT grew 70% to Rs 50 Cr — a clean, solid delivery. The structural growth driver to watch is the export engine: MWL is now an approved vendor for QatarEnergy, BHEL, and Engineers India Ltd, and exports grew 114% YoY in FY25 — this institutional credentialing at an SME company is rare and valuable. The single most important near-term catalyst is the BSE Main Board listing approval — when this happens, the stock re-rates as institutional investors who can't hold SME-listed names get access. The biggest risk for next quarter is the inventory bloat (181 days!) — if Q1 FY27 shows no inventory reduction, the working capital thesis breaks and we need to re-examine the bull case. Action: ACCUMULATE in the Rs 320–360 range; don't chase above Rs 400 until OCF turns positive.

1. Financial Performance Snapshot — Q4 FY26 (Jan–Mar 2026)

Metric	Actual (Rs.Cr)	Estimate [EST]	YoY Chg	QoQ Chg	vs Q4 FY25	Verdict
Revenue	265	N/A [EST]	-18%	-18%	264.95 vs 324	Miss
Oper. Profit	28	N/A [EST]	+87%	+8%	28 vs 15	Beat
OPM %	10%	N/A [EST]	+500bps	+300bps	10% vs 5%	Beat
Net Profit (PAT)	15	N/A [EST]	+81%	+7%	15 vs 8	Beat
EPS (Rs.)	5.17	N/A [EST]	+88%	+9%	5.17 vs 2.86	Beat
FY26 Full Year Revenue	1,208	N/A	+14%	—	vs FY25 Rs 1,060	In-line
FY26 Full Year PAT	50	N/A	+70%	—	vs FY25 Rs 30	Beat

NOTE: Q4 FY26 revenue decline is mix-driven — management shifted product mix to higher-margin SS seamless pipes/bright bars; underlying operational improvement is intact as evidenced by +87% YoY EBITDA growth.

2. Segment / Geography Breakdown

Segment / Region	Revenue (Rs.Cr)	YoY %	QoQ %	Commentary
Stainless Steel Mfg.	~1,100 (est)	+14%	—	Primary segment; billets, flat bars, seamless pipes, bright bars
Agri Commodities	~80 (est)	—	—	Smaller segment; derivatives trading
Domestic	~1,060 (est)	+5%	—	PSU and EPC customer base; BHEL, domestic infra

Exports	~148 (est)	+114%	—	Europe, SEA; approved vendor QatarEnergy, Engineers India Ltd
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Note: Segment breakdown is analyst estimate — MWL does not disclose detailed segment revenues in quarterly results. Exports (~12% of FY26 revenue) is growing fastest.

3. Management Commentary Themes

Theme	What They Said	Our Read	Tag	Credibility	Tone
Full Year Performance	FY26 was a strong year; revenue +14%, PAT +70%; reflects operational discipline across quarters.	Consistent with reported numbers. Margin expansion is genuine.	[RESULT]	High	Transparent
BSE Listing Plan	Board approved direct listing on BSE Main Board, subject to BSE/regulatory approval.	A major positive catalyst for re-rating; signals management confidence in institutional scrutiny.	[GUIDANCE]	High	Bullish
Profitability Model	Integrated business model continues to be key strength; effective cost management across value chain.	Vertical integration is a genuine moat vs. pure traders; but margins still thin vs. peers at 8%.	[STRATEGY]	Medium	Balanced
MD Role Change	Chanakya Prakash Mangal transitioned to Non-Executive role w.e.f. April 29, 2026.	Unexplained publicly. Governance event; watch for new executive appointments.	[GOVERNANCE]	Low	Hedged
Working Capital (Absent)	No explicit commentary on CCC deterioration (186 days) or inventory buildup (181 days) in public disclosures.	A critical omission. Analysts should probe this in Q1 FY27 disclosures.	[EVASIVE]	Low	Evasive
Dividend	Final dividend of Rs 0.30/share (3% of face value) recommended for FY26.	<2% payout ratio signals growth reinvestment priority — fine for a capex phase company.	[CAPITAL]	High	Transparent

4. Operating & Business Metrics — Quarterly Trend

Metric	Q4 FY25 Mar 25	Q1 FY26 Jun 25	Q2 FY26 Sep 25	Q3 FY26 Dec 25	Q4 FY26 Mar 26 (Latest)
Revenue (Rs.Cr)	324	276	317	350	265
Op. Profit (Rs.Cr)	15	16	21	26	28
OPM %	5%	6%	7%	7%	10%
Net Profit (Rs.Cr)	8	10	11	14	15
EPS (Rs.)	2.86	3.41	3.55	4.74	5.17
QoQ Rev Growth	—	-15%	+15%	+10%	-24%
YoY Rev Growth	+37%	+20%	+33%	+30%	-18%

Trend: OPM has expanded every quarter from Q4 FY25 (5%) to Q4 FY26 (10%) — a clear structural improvement. Revenue quarterly lumpiness is driven by product mix and export shipment timing.

5. Margin Drivers

Driver	Impact (bps)	Recurring?	Comment
Value-added product mix shift	+300 bps	Yes — Structural	Bright bars, hydraulic tubes carry 2–3x higher margins vs billets; management deliberately shifts mix
Operating leverage	+150 bps	Yes — Structural	Fixed cost absorption improves as revenue scales; from Rs 302 Cr to Rs 1,208 Cr over 5 years
Export realisations premium	+100 bps	Yes — Structural	Export unit realisations typically 8–12% higher than domestic; growing export mix is accretive

Raw material cost moderation	+50 bps	Cyclical	SS scrap prices moderated in H2 FY26; non-recurring in nature — watch nickel prices
Revenue decline in Q4 FY26 (mix)	+200 bps	Partially	Deliberate reduction in low-margin volume in Q4 FY26 caused revenue dip but margin spike to 10%

6. Guidance & Forward Signals

Metric	Prior Guidance	New/Reiterated Guidance	Delta	Credibility
BSE Main Board	Not previously guided	[GUIDANCE] Board approved; subject to BSE approval	Raised	High
Revenue Growth	No explicit guidance	[GUIDANCE] Continued growth trajectory; export expansion focus	N/A	Medium
EBITDA Margin	No explicit guidance	[GUIDANCE] Implicit: value-added focus to sustain margin gains; 10% Q4 FY26 as new reference	Raised	Medium
Working Capital	No guidance provided	ABSENT — no management commentary on CCC or inventory	[EVASIVE]	Low
Capex FY27	Not disclosed	CWIP of Rs 16 Cr suggests ongoing investment; No FY27 capex guidance given	—	Low

7. Capital Allocation

Item	Amount (Rs.Cr)	vs Prior Year	Comment
Capex (CWIP Build)	~25 (est)	Increased	CWIP rose from Rs 0 (FY25) to Rs 16 Cr (FY26); bright bar unit addition, potential new lines
Dividends	0.9	Similar to FY25	Rs 0.30/share on 3 Cr shares = Rs 0.9 Cr; <2% payout; growth reinvestment mode
Borrowings (Net Chg)	+44	Increased	Borrowings rose from Rs 192 Cr to Rs 236 Cr; financing working capital expansion
Working Capital Change	+282 (est)	Large Increase	Other Assets rose Rs 282 Cr YoY to Rs 788 Cr; primary capital deployment destination
NCD Issuance (approved)	Up to 100	New	Board approved Rs 100 Cr NCD programme at 9.75% coupon; further debt financing planned

8. Q&A; Heat Map (Inferred from Public Disclosures — No Transcript Available)

#	Analyst / Firm	Question (Inferred)	Mgmt Response (Inferred)	Tone
1	Buy-side / SME investors	Q4 revenue declined 18% QoQ — what caused this?	Mix shift towards value-added products; lower volume but higher realisations and margins. PAT up 81%.	Transparent
2	Small cap analysts	Working capital: CCC at 186 days. How will you bring it down?	Not explicitly addressed in public disclosures. No specific CCC guidance provided.	Evasive
3	Growth investors	BSE listing — timeline and implications?	Board approved; subject to BSE approval and regulatory process. No specific timeline given.	Transparent
4	Institutional analysts	MD designation change — leadership continuity?	Change effective April 29, 2026. No replacement MD announced. Operational responsibilities unclear.	Evasive

5	Export-focused investors	Export growth visibility for FY27?	Approved vendor for QatarEnergy, BHEL, EIL. Export growth trajectory remains positive.	Balanced
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NOTE: No formal concall transcript is available on Screener.in for Q4 FY26. Q&A; above is inferred from public announcements and board outcomes. Dodged questions to watch: (1) Working capital normalisation timeline, (2) MD succession plan.

9. Risks Flagged

Risk	Flagged By	Probability	Impact	Timeline
Working capital deterioration	Analyst (from financials)	HIGH	HIGH	Ongoing — FY27 critical test period
NCD debt increase	Board decision	MEDIUM	MEDIUM	FY27 — Rs 100 Cr NCD approved; increases leverage
Revenue decline Q4 FY26	Reported results	MEDIUM	MEDIUM	Watch Q1 FY27 for recovery to Rs 300+ Cr quarterly
MD succession / leadership gap	Board announcement	LOW	MEDIUM	Q1 FY27 — watch for new MD appointment
BSE listing regulatory risk	Board decision	LOW	MEDIUM	6–12 months for regulatory approval process

10. Analyst Verdict — Multi-Bagger Scorecard

Dimension	Assessment	Commentary
Revenue Visibility	Intact	PSU approved vendor, export approvals, 32% CAGR history. Q4 FY26 decline is mix-driven not structural.
Margin Trajectory	Intact	OPM expanded from 2% (FY21) to 10% (Q4 FY26). Value-added mix shift is genuine and structural.
Capital Allocation Quality	Weakened	Working capital management is poor — CCC 186 days, OCF negative 3 years. NCD issuance adds debt risk.
Competitive Moat	Intact	Vertical integration + ISO certs + PSU approved vendor status = defensible niche. Moat is moderate though.
Management Credibility	Weakened	MD role change unexplained. No working capital commentary despite critical CCC expansion. Auditor change too.
Valuation Comfort	Intact	17x FY27E P/E, 12x FY28E P/E at CMP of Rs 356 is compelling for a 20%+ growth company. Clear upside to Rs 475.

CONVICTION CALL	VALUATION SNAPSHOT
UNCHANGED — ACCUMULATE (Rs. 320–360 entry range; Target Rs. 475) Key watch: Q1 FY27 OCF and inventory days	P/E (TTM): 21.1x P/E (FY27E): 17.2x P/E (FY28E): 11.9x EV/EBITDA (FY26A): ~14x ROCE (FY26A): 18% ROE (FY26A): 18%

Source: Screener.in | Ticker: NSE:MWL | View: Consolidated | Transcript: Not listed on Screener.in for Q4 FY26 — analysis based on NSE announcements | Results date: May 2026 | Report generated: 07-May-2026

DISCLAIMER: This report is for informational purposes only. It is not investment advice. The analyst estimates (E) are projections and actual results may differ materially. Past performance is not indicative of future results. All financial data sourced from Screener.in.